## EXAMPLES OF QCOs REVOKED BY THE HIGH-LEVEL COMMITTEE

**SYNTHETIC FIBRES, YARNS & INPUTS**



**Why introduced originally:** To improve quality standards in textile raw materials and support domestic manufacturing

**Why it was revoked:** Higher input prices, restricted imports, loss of export competitiveness and supply shortages in specialised grades

**PLASTICS & POLYMERS**



**Why introduced originally:** To ensure quality and standardisation of industrial plastics

**Why it was revoked:** Disrupted supply chains, raised costs for downstream sectors such as packaging, consumer goods and engineering products

**BASE METALS**



**Why introduced originally:** To improve quality consistency and reduce sub-standard imports

**Why it was revoked:** Restricted availability of specialised grades, increased costs and duplication of regulation in downstream products already covered by standards

**FOOTWEAR INPUTS**



**Why introduced originally:** To improve product quality

**Why it was revoked:** Burdened mainly manufacturers using specialised imported inputs without directly improving consumer safety

**ELECTRONICS COMPONENTS**



**Why introduced originally:** To strengthen quality ecosystem

**Why it was revoked:** Limited access to advanced global components, higher compliance costs and slower technology adoption

**"THE WORK HAS BEEN INTENSE. PROGRESS HAS ALREADY BEEN MADE—NOT MERELY BY WRITING REPORTS, BUT BY CHANGING THINGS ON THE GROUND"**

**– JANMEJAYA SINHA**
*Chairman, BCG India*



A year after the task force was formed, the results were impressive. The Survey reported that the states had already implemented 630 reforms, or 76 per cent of the total that had been identified then; 79, or 10 per cent, were under implementation, and only 119 remained unimplemented or were not applicable. What was also encouraging was that states like Uttar Pradesh, Rajasthan, Uttarakhand and Andhra Pradesh had undertaken reforms that went beyond the common reform templates.

## Ending the Permission Raj

Meanwhile, the Gauba-led HLC began reviewing outdated and obstructive central regulations, guided by a principle it called the Jan Vishwas Siddhant. Its components are certainly radical: licensing should be required only for reasons of national security, or for activities that pose serious risk to human health or environment. Automatic self-registration should be the norm. Licences, where necessary, should have perpetual, or long-term validity. There should be no requirement for frequent renewals. Inspections should be risk-based and conducted by accredited third parties as a norm. "This," says Gauba, "marks a paradigm shift from being prohibited unless permitted, to being permitted unless prohibited."

The Gauba committee cast a wide net, holding over 250 consultations with industry and other stakeholders to identify regulatory bottlenecks. Janmejaya Sinha, chairman of Boston Consulting Group India, who is a member of the HLC and chairs one of the working groups, says, "The work has been intense. Progress has already been made—not merely by writing reports, but by changing things on the ground." The approach was simple: ask why a licence or approval is needed at all. If it is needed, how costly it is to get, how complex to comply with the provisions, how long it takes to obtain, how standardised the process is, how long it remains valid, whether renewal is necessary, what penalties apply, whether criminal provisions exist, and whether they are justified. Sinha says, "These questions sound basic but in India they are revolutionary."

Sabharwal, who is also part of the HLC, concurs. "The Constitution recognises only two instruments—laws and rules. We found 19 other instruments," he says. These, according to him, include circulars, office memoranda, notifications, FAQs, advisories, guidelines, policy letters and government orders. Many carry the full force of compliance in practice—businesses ignore them at their peril—yet they have never undergone parliamentary scrutiny, public consultation or formal notification. "The deregulation battle is still to be fought," he says. "Anyone can say no and no one can say yes. Dismantling this logic is the regulatory reform's deepest ambition."

The consequences can be absurd. In one example cited during the review, a guideline governing poultry farms imposed 35 separate compliance requirements on operators. The document was not formally notified as law. Yet non-compliance with its provisions could trigger criminal penalties under environmental legislation. Businesses were, in effect, being